

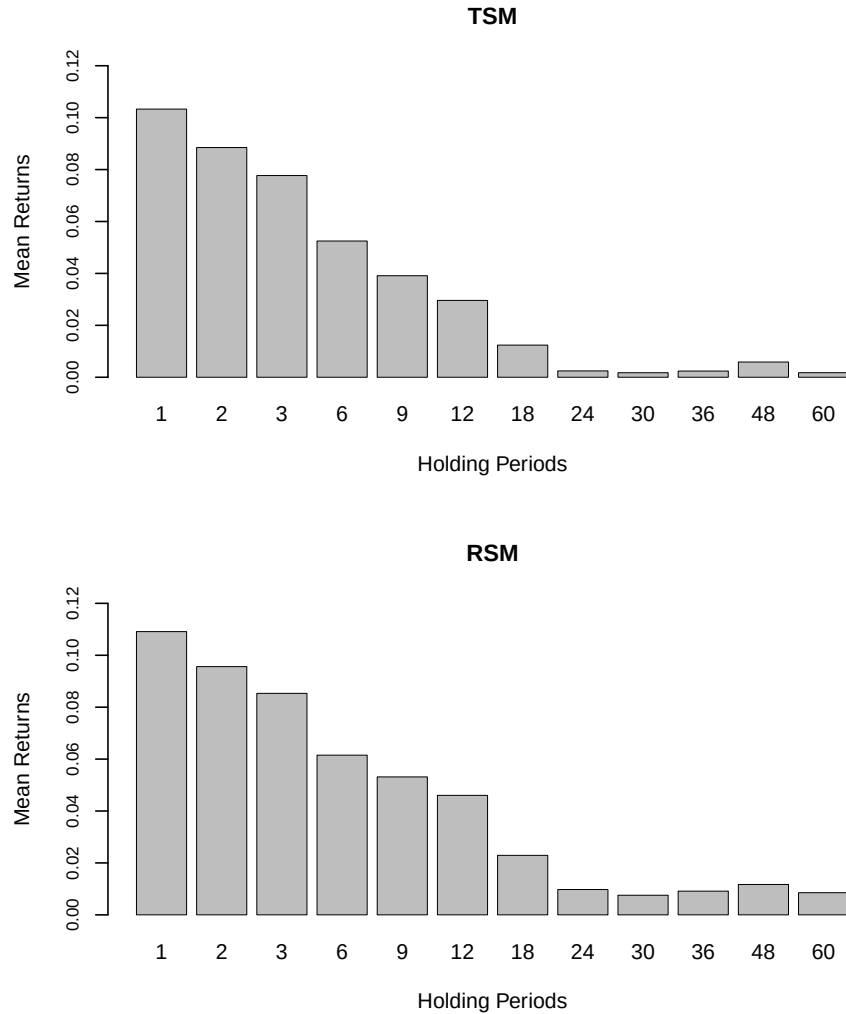


Figure 3: Return decays of trend-following strategies.

Reported are the annualised mean returns of TSM and RSM strategies with different holding periods $h(1,2,3,6,9,12,18,24,30,36,48,60$ months). The strategies are performed using an asset pool with 55 futures from January, 1985 to March, 2015. The trend-following profit declines as the holding period increases. The decays stop at about holding period of 24 months and keep constant afterwards.